

CHAPTER REVIEW QUESTIONS

1. Which of the following factors in choosing an entity refers to the business's option for funding its operations?

- a. Personal liability
- b. Capitalization
- c. Management
- d. Taxation
- e. Formation

2. All of the following are true about a sole proprietorship entity except

- a. It does not protect the personal assets of the principal.
- b. It is formed by filing a set of forms with the federal and state government.
- c. It provides pass-through taxation for the principal.
- d. It is a single-person entity.
- e. It may be capitalized through a loan.

3. Franco is a sole proprietor who does business as Franco's Computer Consulting. After starting up the business out of his basement, he lands a big client and begins to lease office space at a local office complex. He loses the big client in one month and can no longer generate enough business revenue to sustain the lease payments. He ends up owing his landlord \$5,000. Assuming no business assets exist, which is true?

- a. Franco is personally liable for the lease payments.
- b. Franco is not personally liable for the lease payments.
- c. Franco is not personally liable for the debt if he vacates the property.
- d. Franco is only liable for 50 percent of the lease payments.
- e. Franco is liable only if he signed a personal guarantee.

4. Which of the following methods is/are available to capitalize a sole proprietorship?

- a. Sale of equity (ownership)
- b. Self-funded by the proprietor
- c. Loan from a bank (private debt)
- d. B and C
- e. A, B, and C

5. Which of the following is/are an event(s) of termination for a sole proprietorship?

- a. Death of the proprietor
- b. Failing to renew the entity with state officials
- c. Filing a personal tax return
- d. A and B
- e. A, B, and C

6. Sole proprietorships are limited in their options for raising money.

- a. True
- b. False

7. One advantage to being a sole proprietor is protection of the proprietor's personal assets for business debts.

- a. True
- b. False

8. Sole proprietorships are taxed as pass-through entities.

- a. True

b. False

9. A principal is one who has ownership in a business entity.

a. True

b. False

0. A sole proprietorship can be passed on to heirs through gifts or an estate.

a. True

b. False

Answers and explanations are provided at the end of this chapter.